

Republicans maintain slight advantage as Senate race tightens

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【メール原文】

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summary

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Recent polling in key states has tightened the race to control the Senate, giving Democrats a boost, though Republicans maintain a slight edge.
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China’s targeted retaliation against the enforcement of US forced labor laws raises costs for US businesses while preserving off-ramps ahead of the planned presidential summit in September.
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Although stability in US-China relations remains the basecase for 2026, the odds of a breakdown have risen.
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Japanese Prime Minister Takaichi Sanae remains politically secure despite falling approval ratings and governing stumbles.
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Regions, countries, and sectors covered in this edition include the US, Brazil, China, Japan, Mexico, and geoeconomics.

the top line

US—The Senate race is now nearly a coin flip

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Recent polling in key states has tightened the race to control the Senate, giving Democrats a boost heading into the fall.
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Democrats need to hold Georgia, Minnesota, New Hampshire, and Michigan, and flip four of North Carolina, Maine, Texas, Ohio, Alaska, and Iowa. In every Republican-held seat except Iowa, the bulk of recent polling has favored Democrats.
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EG now sees the Senate race as a near-coin flip in which Republicans have a slight edge (55% odds, down from 60%) but are at risk of losing further ground if the macro-political environment turns more negative.

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We are closely watching several signposts, including President Donald Trump's approval rating, the generic congressional ballot, polling in state races, Republicans' financial advantage, and Democrats' ability to unify after divisive primaries.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

China—Beijing deepens retaliation while keeping summit door open

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China's broadest trade retaliation since the October 2025 truce for the first time sanctions US compliance and audit firms that enforce the Uyghur Forced Labor Prevention Act (UFLPA)—a precedent with significant implications for US businesses operating in China.

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By sanctioning UFLPA compliance and audit enablers and tightening dual-use export controls on drones, Beijing is raising enforcement costs for US firms while keeping measures reversible ahead of bilateral talks.

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While President Xi Jinping's visit to the US is still on track, possible actions by the Trump administration to curb use of Chinese AI models or restrict cloud chip access will determine the durability of the truce and whether the summit takes place as planned.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

China, US—Beneath the US-China truce, AI and commercial pressures are mounting

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Although stability in US-China relations remains the basecase for 2026, EG is raising the odds of a breakdown from 20% to 30%. Three mounting pressures drive this revision:

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AI is emerging as the key fault line. As Chinese AI capabilities advance at a faster-than-expected pace, the Trump administration is considering a range of responses.

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Commercial restrictions are spreading across sectors. The Federal Communications Commission (FCC) has become an active channel for new US restrictions, and the Department of Homeland Security recently expanded entity listings under the UFLPA.

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Both governments are strengthening their capacity to act. On the Chinese side, three new State Council decrees codify a more assertive posture. On the US side, in addition to the FCC's more visible role, Congress is considering new restrictions and authorities.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

Japan—Takaichi remains politically secure despite governing stumbles

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Prime Minister Takaichi Sanae remains politically secure despite falling approval ratings, with 75% odds of her surviving her party's leadership election in September 2027.

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Her public support has fallen due to her prioritization of divisive right-wing legislation over household economic concerns, but her cabinet's approval rating remains above 50%.

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Takaichi's insular governing style is producing real costs, from a rupture with Beijing following her November Taiwan comments to a growing inability to build alliances among lawmakers in the ruling Liberal Democratic Party.

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Meanwhile, fiscal expansion will continue despite growing market pressure, with Takaichi set to push through a cut on consumption taxes on food this fall and possibly a supplemental budget that will raise spending on defense.

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Takaichi will retain Washington's support on economic issues, with both the US and Japan preferring a stronger yen and weaker dollar.

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Read more here . Reach out to discuss: japanresearch@eurasiagroup.net .

US, Geoeconomics—Chart of the day: US manufacturing jobs finally recovering

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The 4 August uptick in the June JOLTS manufacturing hires—together with the forward-looking ISM manufacturing purchasing managers index (PMI) data that has been showing an improvement in hiring intentions for a few months—points to a potential recovery in manufacturing jobs in the US, which has been languishing since a post-pandemic spike.

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While manufacturing accounts for only 8% of US jobs, bringing back manufacturing jobs to the country has been a pillar of the Trump administration's reasoning for its protectionist trade policies. Despite the tilted playing field, data had until now failed to show a potentially politically valuable payoff for the administration.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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6 August 9:30 AM ET—US political and economic update. Register here .

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6 August 9:00 PM ET—From Washington to Tokyo: US policy, the midterms, and global market risks. Register here .

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13 August 10:00 AM ET—Analysing global oil & gas markets. Register here .

eg in depth

Brazil—Bolsonaro bets on law-and-order to crack Lula's Northeast stronghold: On 5 August, Senator Flavio Bolsonaro picked Federal Lawmaker Alfredo Gaspar as his running mate on the Liberal Party's (PL) presidential ticket. The ticket will try to cut into the Northeast, the Workers' Party's (PT) historic stronghold, by emphasizing public security. The PL is angling to exploit an opening created by President Luiz Inacio Lula da Silva's narrow margins in the region, though the PT remains dominant. The choice also signals a revival of anti-corruption attacks against the PT. Overall, Gaspar's selection will probably have limited impact and does not change the election's odds. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Mexico—Unresolved production shortfalls will keep Pemex on government life support: Pemex's recent financial rebound will ease near-term pressure but not end its dependence on government support, as structural costs continue to absorb operating gains. Crude production will remain Pemex's main operational constraint; with output near a historic low, the company is more likely to stabilize production than deliver a sustained recovery. President Claudia Sheinbaum's unwillingness to undertake the broader policy changes needed to overcome the company's private-sector credibility deficit will keep investment away, making government injections unavoidable through 2027. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Upcoming events:

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6 August: Central bank decisions: Czechia and Mexico.

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7 August: Data: China trade and foreign reserves, Germany industrial production, and US unemployment and nonfarm payrolls.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, and Trista Kelley, with help from Astral Betteridge.

closing quip

Tomorrow, we begin to mend fences... Whatever happens tonight, we have a responsibility to assure that we unite to make sure that Mike Rogers never sees the inside of the US Senate."—Abdul El-Sayed, Michigan Senate nominee-elect, pivoting toward the general election and calling for party unity after a brutal, \$70-million-plus primary fight.

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